



Sequential Improvement ahead

Q2FY23 Results were largely in line with estimates

- **Revenue:** grew by 6% YoY to Rs 29864.9mn (QoQ 6%) with domestic volume growth at 1%. Growth was mainly aided by domestic business that grew by 7% YoY.
- **EBITDA:** de-grew by 3.2% YoY to Rs 6007.4mn (QoQ +10.5%)
- **EBITDA Margins** at 20.12% (Vs 22% YoY) (Vs 19.26% QoQ)
- **PAT** de-grew by 2.8% to Rs 4900.6 Mn

Expenses

- **RM to Revenue** stood at 54.62% v/s 51.16% YoY (QoQ 54.14%) mainly due to commodity inflation
- **A&P spends to Revenue:** stood at 5.08% v/s 7.18% YoY (5.57 % QoQ). Rationalized to maintain EBITDA margins
- **Other expenses to Revenue:** stood 10.55% v/s 10.06% YoY (QoQ 11.46%)
- **Employee Cost** increased by 6.6% YoY to Rs 2876mn

Outlook:

- **Demand:** Overall pace of growth as per Nielson has come down. Volume growth turned negative as inflation is on a rise impacting rural where down-trading is evident even in Dabur's case. Rise in MSP and good monsoon and festive season should help rural demand in Q3FY23.
- **Gross Margins:** QoQ will improve with weighted average price increase of 6%. However YoY will remain lower as it requires 11% price increase to mitigate the same.
- **EBIDTA margins:** to be maintained @ 20-21% range. Price increase benefits should kick-in H2FY23.

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22E	FY23E	FY24E
Netsales	87,036	95,617	108,887	119,819	131,801
growth (%)	2.0	9.9	13.9	10.0	10.0
EBIDTA Margins	20.6	20.9	20.7	20.4	21.3
Adjusted net profit	15,288	16,933	18,045	18,705	22,063
EPS (Rs)	8.7	9.6	10.2	10.6	12.5
growth (%)	1.5	10.7	6.5	3.4	18.0
P/E (x)	63.3	57.2	53.7	51.9	44.0
P/B (x)	14.7	12.6	11.6	10.2	9.0
RoCE (%)	26.5	25.5	25.4	23.4	24.5
RoE (%)	23.1	22.1	21.5	19.7	20.4
Dividend yield (%)	0.5	0.5	0.9	1.0	0.8

Source: Dalal and Broacha

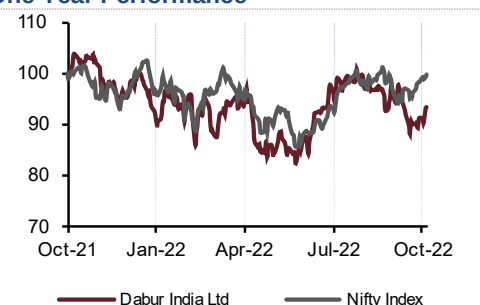
Rating	TP (Rs)	Up/Dn (%)
ACCUMULATE	610	11

Market data

Current price	Rs	550
Market Cap (Rs.Bn)	(Rs Bn)	975
Market Cap (US \$ Mn)	(US \$ Mn)	11,817
Face Value	Rs	1
52 Weeks High/Low	Rs	625 / 482.2
Average Daily Volume	('000)	5,192
BSE Code		500096
Bloomberg		DABUR.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Sep-22	Jun-22
Promoters	67.24	67.24
Public	32.76	32.76
Total	100	100

Source: BSE

Kunal Bhatia
(022) 67141442

Segmental and Other Conference Call KTA's

SEGMENTAL	Q2FY23	Q2FY22	YoY (%)	Q1FY23	QoQ (%)
A. Healthcare	6290	6750	-6.8%	5469	15.0%
Health Supplements (Chyawanprash and Dabur Honey)	3277	3750	-12.6%	2473	32.5%
Digestives (Hajmola, Pudina Hara)	1118	1117	0.1%	1289	-13.3%
OTC & Ethicals (Honitus, Shilajit and Ethical)	1895	1884	0.6%	1707	11.0%
B. Home and Personal Care	10650	10010	6.4%	9970	6.8%
Hair Care (Shampoo + Hair Oils)	4099	3965	3.4%	4206	-2.5%
Oral Care	4083	3739	9.2%	3597	13.5%
Skin Care	756	890	-15.0%	759	-0.3%
Home Care	1712	1416	20.9%	1409	21.5%
C. Foods & Beverages	4310	3310	30.2%	5590	-22.9%
D. International	7496.09	7325.71	2.3%	6632.71	13.0%
E. Others	1118.81	780.09	43.4%	562.35	99.0%

HEALTHCARE:

- Overall business was impacted on account of high base. Only OTC witnessed 9% growth and Honitus double digit
- Market Share gains: Chyawanprash +120 bps, Honey +40bps, +270bps in digestive powders
- Launched Dabur vedic tea

HOME and PERSONAL CARE

- Apart from Skin and Salon all other segments grew
- Ex of Sanitizer Skincare de-grew by 5% due to high base
- Launched: Gulabari Moisturizing Body Lotion, OxyLife Aqua and Fem Sanitary Napkins, Vatika Neelibhringa21 Oil, In toothpaste-Dabur Herb'l Olive and Blackseed along with Dabur Red Bae Fresh Gel
- Market share: Hair-Oils +20bps, Shampoo +40bps, toothpaste +10bps

FOODS and BEVERAGES

- Beverages grew @ 30.5% and Foods @ 21.2%
- Launched Real Peanut Butter Range
- Market Share of Real Fruit juice increased by 410bps
- Beverages: dairy beverages growth @ 25% || Expanded network by 1.5 lac outlets || Drinks portfolio within beverages aiding expansion in Rural with right pack-size and price-point of Rs 20/- and 18K sub stockist || Drinks portfolio distributed via 3 lac outlets now has reached @ Rs 200crs revenue.

INTERNATIONAL

- International Business grew by 12.3% in CC terms (2.5% in INR terms)

Other KTA's

- Volume growth @ 1%. H1FY23 weighted average price increase 6%
- Gross Margins down 340bps YoY of which a) 200bps was inflation led b) 100bps due to mix c) 40bps promotion re-balancing
- EBIDTA margins drop only 190bps on account of Ad-prom rationalization and Rs 400mn cost savings
- Cut-back in ad-spends ~20%
- Skin and Salon portfolio suffered due to higher base.
- Winter portfolio re-vamped for better growth.
- E-Commerce contributed 9% of Revenue and grew @ 50%. NPD contribution stood at 11% in E-Com business. Products such as Baby Care, Peanut butter, Shilajit and edible oil doing well.
- Badshah business gross and ebidta margins are accretive to Dabur's food business || market share of 4-5% in their core markets i.e. Maharashtra and Gujarat
- Honey portfolio gained back market share lost Pre-Covid and is now @ 50%.
- Rural for 6quarters prior to Q2 was ahead of Urban. It lagged for the 1st time Q2FY23. Rural 1% growth Urban 6% growth. Healthcare portfolio witnessed improvement in Sept-22.
- International business witnessed inflationary as well as volume decline.
- Competitive intensity high in hair-oil
- Asset-Turn on the new capex announced of Rs 3.26bn would be 3x by FY27.

Badshah Acquisition Details

Dabur to acquire 51% in Badshah Masala Private Limited

Stake Acquired:	51%
Remaining Stake:	49% to be acquired in 5 years @ 4.5x sales of that year
Cost of Acquisition for 51% Stake:	Rs 587.52crs
Business of Badshah Masala :	manufacturing, marketing and export of Ground Spices, Blended Spices and Seasonings has 52 products in India and Overseas 2 manufacturing facilities Gujarat and Umargam
Market Size	Rs 25000 crs growing @ double digit ~20% CAGR expected
Market Share Distribution:	1% over all 4 to 5% in their core markets with no.2 position
Main States Revenue Contribution	Badshah 80K in their core states Dabur has bigger network in similar states
Synergy Benefits:	Maharashtra =35% Gujarat = 40% Telengana = 10% > Modern Trade Badshah @ 3% Dabur @ 10% > E-commerce Badshah @ 0% Dabur @ 9% > Procurement Benefits > Factory Automation
Incorporation:	founded by Shri J awaharlal J .J haveri and Indiraben J haveri in the year 1958
Revenue :	CAGR ~4-5%
FY22	Rs 189.1crs
FY21	Rs 154.6crs
FY20	Rs 154.8crs
MARGINS:	GM and EBIDTA accretive to Dabur's Food business
VALUATIONS:	
Enterprise Value	Rs 1152crs
EV to Sales FY23 est	4.5x
EV to EBIDTA	19.6x
Comments:	EPS Neutral 1st year, accretive next year (net of interest and ex of Goodwill)

Source: Dalal & Broacha Research, Company

Quarterly Performance Analysis

Exhibit 1

Particulars	Q2FY23	Q2FY22	YoY (%)	Q1FY23	QoQ (%)
Revenue from Operations	29864.9	28175.8	6.0%	28224.3	5.8%
Other Income	1232.8	1124.4	9.6%	1005.5	22.6%
Total	31097.7	29300.2	6.1%	29229.8	6.4%
COGS	16313.7	14415	13.2%	15281.1	6.8%
% of sales	54.62%	51.16%		54.14%	
Employee Benefit Expense	2875.6	2696.6	6.6%	2698.9	6.5%
% of sales	9.63%	9.57%		9.56%	
Other Expenses	3150.2	2835.4	11.1%	3235.7	-2.6%
% of sales	10.55%	10.06%		11.46%	
Advertisement and Promotional Expense	1518	2021.7	-24.9%	1572	-3.4%
% of sales	5.08%	7.18%		5.57%	
EBITDA excluding other income	6007.4	6207.1	-3.2%	5436.6	10.5%
EBITDA MARGINS	20.12%	22.03%		19.26%	
EBITDA including other income	7240.2	7331.5	-1.2%	6442.1	12.4%
Depreciation	704.7	633.3	11.3%	676.0	4.2%
EBIT	6535.5	6698.2	-2.4%	5766.1	13.3%
Finance costs	150.6	82.7	82.1%	121.5	24.0%
PBT Ex of J V and Exceptional items	6384.9	6615.5	-3.5%	5644.6	13.1%
profit/loss from J V	-3.4	-4.2	-19.0%	-3.4	0.0%
exceptional items	0	0		0	
PBT	6381.5	6611.3	-3.5%	5641.2	13.1%
Tax Expense	1472.9	1558.2	-5.5%	1230.6	19.7%
Tax Rate	23.1%	23.6%		21.8%	5.8%
PAT	4908.60	5053.10	-2.9%	4410.60	11.3%
NPM	15.8%	17.2%		15.1%	
Minority Interest	8.00	9.60	-16.7%	7.40	8.1%
NPAT	4900.60	5043.50	-2.8%	4403.20	11.3%
NPM	15.8%	17.2%		15.1%	4.6%
Adjusted PAT	4900.60	5043.50	-2.8%	4403.20	11.3%
Equity	1767.4	1767.4		1767.4	
Face Value	1	1		1	
Number of Shares	1767.9	1767.9		1767.9	
Basic EPS Calculated	2.77	2.85		2.49	

Source: Dalal & Broacha Research, Company

Valuation

Overall environment remains challenging as inflation pressure continue aided by currency de-valuation. Sequentially H2FY23 is expected to be better as compared to H1FY23 in terms of margins as inflation is cooling off from peak levels.

Rural growth was lower as compared to urban however rise in MSP, good monsoon and festive season should improve Rural demand.

We also believe acquisition of Badshah Masala is a good move towards diversification in to a very high growth category.

At Rs 549, company trades 52x FY23E EPS of Rs 10.6 and 44x FY24E EPS of Rs 12.5. **We maintain our rating of ACCUMULATE for Long Term with a target price of Rs 610. (49x FY24EEPS).**

Financial

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	87,036	95,617	108,887	119,819	131,801	Net Profit	14,479	16,950	17,423	18,738	22,099
						Add: Depreciation	2,205	2,401	2,529	2,829	3,095
						Minority Interest	(30)	(17)	(31)	(33)	(36)
Cost of sales	69,112	75,590	86,349	95,428	103,760	Cash profits	16,654	19,334	19,921	21,534	25,158
						(Inc)/Dec in					
Operating Profit	17,924	20,027	22,538	24,391	28,041	-Sundry debtors	197	2,523	(846)	(840)	(765)
Depreciation	2,205	2,401	2,529	2,829	3,095	-Inventories	(790)	(3,547)	(1,771)	(2,486)	(2,263)
PBIT	15,719	17,626	20,009	21,562	24,946	-Loans/advances	(91)	8	369	-	-
Other income	3,053	3,253	3,932	3,229	4,141	CL & provisions	11	3,967	1,264	1,676	1,422
Interest	495	308	386	748	734	Other Assets	(5,568)	4,765	1,736	(654)	(444)
Profit before tax	18,277	20,570	23,555	24,043	28,354	Change in working capital	(6,242)	7,716	753	(2,305)	(2,050)
Exceptional items	1,000	-	850	-	-	CF from Oper. activities	10,412	27,050	20,674	19,230	23,108
share of profit/loss in JV	(0)	(10)	(18)	(20)	(22)						
PBT (Post Extra Ordinary)	17,276	20,560	22,687	24,023	28,332	CF from Inv. activities	(284)	(15,905)	(23,981)	(2,172)	(4,000)
Provision for tax	2,797	3,611	5,264	5,285	6,233						
Reported PAT	14,479	16,950	17,423	18,738	22,099	CF from Fin. activities	(5,287)	(5,969)	(4,282)	(7,346)	(8,989)
MI	30	17	31	33	36						
Adjusted PAT	15,288	16,933	18,045	18,705	22,063	Cash generated/(utilised)	4,841	5,177	(7,589)	9,712	10,118
						Cash at start of the year	3,273	8,114	13,290	5,701	15,413
						Cash at end of the year	8,114	13,290	5,701	15,413	25,532
							8,114	13,290	5,701	15,413	25,532
Balance Sheet	FY20	FY21	FY22	FY23E	FY24E	Ratios	FY20	FY21	FY22	FY23E	FY24E
Equity capital	1,767	1,767	1,768	1,772	1,772	OPM	21	21	21	20	21
Reserves	64,290	74,868	82,045	93,268	106,506	NPM	17	17	16	15	16
Net worth	66,058	76,635	83,813	95,040	108,277	Tax rate	15	18	22	22	22
Minority Interest	365	367	406	439	475						
Non Current Liabilities	2,479	2,127	5,401	5,068	4,889	Growth Ratios (%)					
						Net Sales	2	10	14	10	10
Current Liabilities	24,639	29,342	33,225	35,334	36,735	Operating Profit	3	12	13	8	15
						PBIT before other income	1	12	14	8	16
CAPITAL EMPLOYED	93,540	108,471	122,845	135,880	150,376	PAT	2	11	7	4	18
Non Current Assets	44,738	60,712	79,677	82,444	83,419	Per Share (Rs.)					
						Net Earnings (EPS)	9	10	10.2	10.6	12.5
Fixed Assets	20,117	20,037	21,752	23,133	24,038	Cash Earnings (CPS)	7	8	9	9	11
Non Current Investments	14,092	34,136	53,651	55,049	55,049	Dividend	3	3	5	6	4
Non Current tax assets	231	222	52	50	50	Book Value	37	43	47	54	61
Long Term Loans and Advances	246	225	-	-	-	Free Cash Flow	5	9	6	6	8
Other NON Current Assets	6,175	2,226	1,221	1,219	1,288						
Goodwill	3,360	3,360	2,512	2,509	2,509						
Investment property	516	505	491	485	485						
Current Assets	48,803	47,759	43,168	53,435	66,956	Valuation Ratios					
Current investments	13,910	7,460	8,546	5,117	5,117	P/E(x)	63	57	54	52	44
Inventories	13,796	17,343	19,114	21,599	23,863	P/B(x)	15	13	12	10	9
Trade Receivables	8,139	5,616	6,462	7,302	8,067	EV/EBIDTA(x)	54	48	43	40	34
Cash and Bank Balances	8,114	13,290	5,701	15,413	25,532	Div. Yield(%)	1	0	1	1	1
Short Term Loans and Advances	131	145	-	-	-	FCF Yield(%)	1	2	1	1	1
Other Current Assets	4,713	3,906	3,346	4,005	4,378						
						Return Ratios (%)					
						ROE	23%	22%	22%	20%	20%
CAPITAL DEPLOYED	93,540	108,471	122,845	135,880	150,376	ROCE	27%	26%	25%	23%	24%
ROA	16.3	15.6	14.7	13.8	14.7						

Source: Dalal & Broacha Research

Disclaimer

Dalal & Broacha Stock Broking Pvt Ltd, hereinafter referred to as D&B (CINU67120MH1997PTC111186) was established in 1997 and is an integrated financial services player offering an extensive range of financial solutions and services to a wide spectrum of customers with varied needs ranging from equities to mutual funds to depository services.

D&B is a corporate trading member of Bombay Stock Exchange Limited (BSE), National Stock Exchange of India Limited (NSE). D&B along with its affiliates offers the most comprehensive avenues for investments and is engaged in the securities businesses including stock broking (Institutional and retail), depository participant, portfolio management and services rendered in connection with distribution of primary market issues and financial products like mutual funds, fixed deposits. Details of associates are available on our website i.e. www.dalal-broacha.com

D&B is registered as Research Analyst with SEBI bearing registration Number INH000001246 as per SEBI (Research Analysts) Regulations, 2014.

D&B hereby declares that it has not defaulted with any stock exchange nor its activities were suspended by any stock exchange with whom it is registered in any time in the past. It has not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has its certificate of registration been cancelled by SEBI at any point of time.

SEBI and Stock Exchanges have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on D&B for certain operational deviations in routine course of business.

D&B offers research services to clients as well as prospects. The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

Other disclosures by D&B (Research Entity) and its Research Analyst under SEBI (Research Analyst) Regulations, 2014 with reference to the subject company(s) covered in this report:-

D&B or its associates may have financial interest in the subject company.

D&B or its associates do not have any material conflict of interest in the subject company.

The Research Analyst or Research Entity (D&B) has not been engaged in market making activity for the subject company.

D&B or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report.

Disclosures in respect of Research Analyst:

Whether Research Analyst or his/her relatives have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report:	No
Whether the Research Analyst or his/her relative's financial interest in the subject company.	No
Whether the research Analyst has served as officer, director or employee of the subject company	No
Whether the Research Analyst has received any compensation from the subject company in the past twelve months	No
Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report	No

D&B and/or its affiliates may seek investment banking or other business from the company or companies that are the subject of this material. Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that may be inconsistent with the recommendations expressed herein.

In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest including but not limited to those stated herein. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject D&B or its group companies to any registration or licensing requirement within such jurisdiction. Specifically, this document does not constitute an offer to or solicitation to any U.S. person for the purchase or sale of any financial instrument or as an official confirmation of any transaction to any U.S. person. Unless otherwise stated, this message should not be construed as official confirmation of any transaction. No part of this document may be distributed in Canada or used by private customers in United Kingdom. All material presented in this report, unless specifically indicated otherwise, is under copyright to D&B. None of the material, nor its content, nor any

copy of it, may be altered in any way, transmitted to, copied or distributed to any other party, without the prior express written permission of D&B. All trademarks, service marks and logos used in this report are trademarks or registered trademarks of D&B or its Group Companies. The information contained herein is not intended for publication or distribution or circulation in any manner whatsoever and any unauthorized reading, dissemination, distribution or copying of this communication is prohibited unless otherwise expressly authorized. Please ensure that you have read "Risk Disclosure Document for Capital Market and Derivatives Segments" as prescribed by Securities and Exchange Board of India before investing in Indian Securities Market. In so far as this report includes current or historic information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Name	Designation	E-mail	Phone	Sector
Mr Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022-67141442	Retail FMCG Logistics
Ms. Anusha Raheja	Analyst	anusha.raheja@dalal-broacha.com	022-67141449	BFSI
Mr. Bhavya Gandhi	Associate	bhavya.gandhi@dalal-broacha.com	022-67141486	Midcaps
Mr. Harsh Shah	Associate	Harsh.shah@dalal-broacha.com	022-67141496	Midcaps

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992 | E-mail: equity.research@dalal-broacha.com